GREWAL BROTHERS

Columnar Trading Account
for the year ended 31.12.2017

Particulars	Dept A (₹)	Dept B (₹)	Total (₹)	Particulars	Dept A (₹)	Dept B (₹)	Total (₹)
To Opening Stock	5,800	6,400	12,200	By Sales	1,50,000	1,00,000	2,50,000
To Purchases	40,000	50,000	90,000	By Closing Stock	9,000	6,000	15,000
To Carriage on purchases (Note 1)	640	800	1,440				
To Wages (Note 2)	13,080	8,720	21,800				
To Gross Profit c/d	**99,480**	**40,080**	**1,39,560**				
Total	**1,59,000**	**1,06,000**	**2,65,000**	**Total**	**1,59,000**	**1,06,000**	**2,65,000**

General Profit & Loss Account
for the year ended 31.12.2017

(As columnar form is not required for P&L)

Particulars	Amount (₹)	Particulars	Amount (₹)
To Rent, rates and insurance (Note 3)	4,440	By Gross Profit b/d	1,39,560
To Stationery and office expenses	1,260		
To Motor vehicle exp. & depreciation	3,240		
To Light and heat	1,270		
To Provision for doubtful debts (Note 4)	100		
To Net Profit (transferred to Capital)	**1,29,250**		
Total	**1,39,560**	**Total**	**1,39,560**

Working Notes & Adjustments

1. Carriage on Purchases (₹1,440)

Apportioned in proportion to Purchases (40,000 : 50,000 = **4 : 5**).
Dept. A = 1,440 × `4/9` = ₹640
Dept. B = 1,440 × `5/9` = ₹800

2. Wages of Shop Assistants (₹21,800)

Allocated on the same basis as Sales (1,50,000 : 1,00,000 = **3 : 2**).
Dept. A = 21,800 × `3/5` = ₹13,080
Dept. B = 21,800 × `2/5` = ₹8,720